

Bajaj Holdings & Investment Ltd (BAJAJHLDNG)

Sector: Financials

ROE

13.6%

ROCE

2.8%

D/E

0.00x

OPM

91.8%

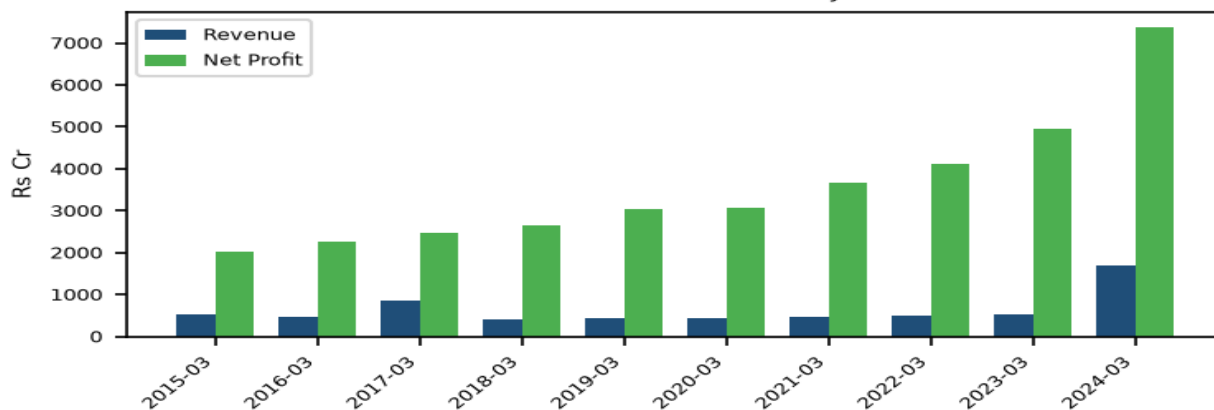
Revenue CAGR 5yr

31.6%

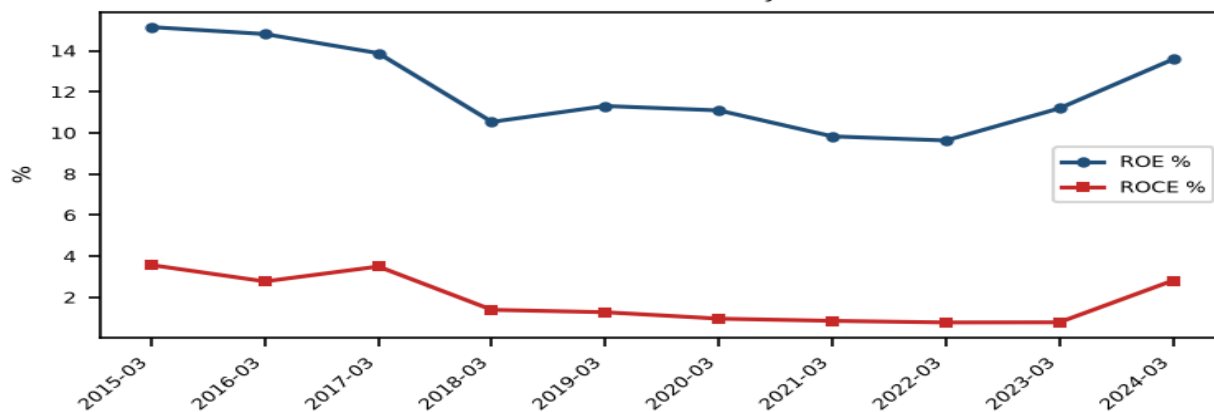
Free Cash Flow

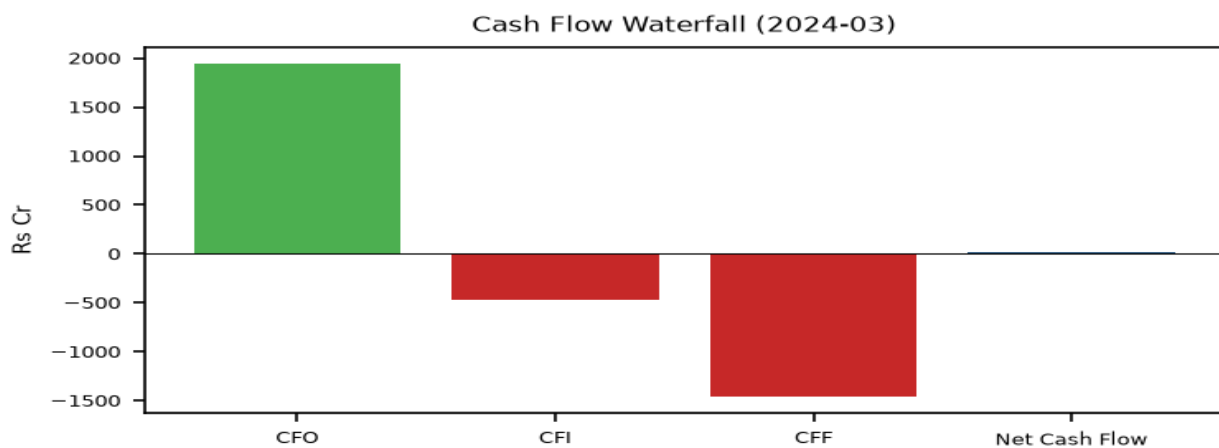
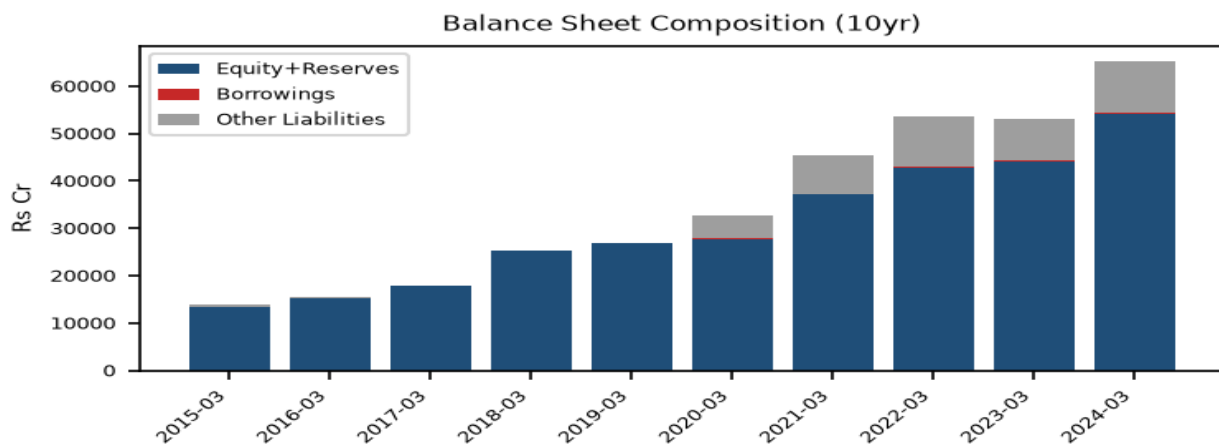
Rs 1,469 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Growing asset base funded by internal accruals reflects self-sustaining growth

Cons

- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Reinvestor